

26TRCV00237 26TRCV00237

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Case Number: 26TRCV00237 Hearing Date: August 12, 2026 Dept: 5

Superior Court of California

County of Los Angeles – SOUTHWEST District

Department

5

TERHA NEWBY

, et al.;

Plaintiffs,

vs.

rudu tapia

;

Defendant.

Case

No.:

26TRCV00237

Hearing

Date:

August
12, 2026

Time:

8:30 a.m.

[tentative]

Order RE:

(1)

DEFENDANT RUDY TAPIA'S DEMURRER TO FIRST
AMENDED COMPLAINT

(2)

DEFENDANT RUDY TAPIA'S MOTION TO STRIKE
PORTIONS OF FIRST AMENDED COMPLAINT

(3)

PLAINTIFFS

Terha Newby and Christopher Newby'S REQUEST FOR LEAVE TO AMEND

MOVING PARTY: Defendant, Rudy Tapia

RESPONDING PARTY: Plaintiffs, Terha Newby and Christopher
Newby

(1)

Defendant

Rudy Tapia's Demurrer to First Amended Complaint is SUSTAINED with respect to
the fifth cause of action and OVERRULED with respect to the first and sixth
causes of action pursuant to Code of Civil Procedure section 430.10.

(2)

Defendant

Rudy Tapia's Motion to Strike Portions of First Amended Complaint is GRANTED IN
PART pursuant to Code of Civil Procedure section 435.

(3)

Plaintiffs

Terha Newby and Christopher Newby are GRANTED twenty (20) days Leave to Amend.

The Court considers the moving papers filed on July 9, 2026, the opposition brief filed on July 30, 2026, and the reply brief filed on August 4, 2026.

BACKGROUND

Factual Background

On January 22, 2026, plaintiffs Terha Newby and Christopher Newby (collectively, "Plaintiffs") filed the Complaint against defendants Rudy Tapia ("Defendant") and DOES 1 through 10.

On April 8, 2026, Plaintiffs submitted the First Amended Complaint ("FAC") against Defendant and DOES 1 through 10. The FAC includes the following causes of action: (1) Violations of the California Consumer Legal Remedies Act (Cal. Civ. Code §§ 1750 et seq.); (2) Fraudulent Misrepresentation; (3) Negligent Misrepresentation; (4) Breach of Contract; (5) Conversion; and (6) Civil Theft. On June 11, 2026, the Court marked the FAC as filed.

On June 14, 2026, Defendant's counsel sent an email to Plaintiffs' counsel to discuss the alleged deficiencies in the FAC. (Declaration of Jeffrey A. Meyers ("Meyers Decl."), ¶ 3, Exh. A.) On June 26, 2026, Plaintiffs' counsel responded with a letter addressing the concerns raised, outlining why they believe the claims in the FAC are sufficient. (Meyers Decl., ¶ 4, Exh. B.) Consequently, the parties reached an impasse, necessitating the filing of a demurrer and a motion to strike in order to resolve their disputes. (Meyers Decl., ¶¶ 5-6.)

MEET AND CONFER REQUIREMENT

Before filing a demurrer or motion to strike, the moving party is required to meet and confer in person, by telephone, or via video conference with the party that filed the pleading that

is subject to the motion to determine whether an agreement can be reached that would resolve the objections to be raised in the demurrer or motion to strike. (Code Civ. Proc., §§ 430.41, subd. (a), 435.5, subd. (a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (Code Civ. Proc., §§ 430.41, subd. (a)(2), 435.5, subd. (a)(2).) Thereafter, the moving party shall file and serve a declaration detailing their meet-and-confer efforts. (Code Civ. Proc., §§ 430.41, subd. (a)(3), 435.5, subd. (a)(3).) A determination by the court that the meet and confer process was inadequate shall not be grounds to overrule or sustain a demurrer, or to grant or deny a motion to strike. (Code Civil Proc., §§ 430.41, subd. (a)(4), 435.5, subd. (a)(4).)

On June 14, 2026, Defendant's counsel sent an email to Plaintiffs' counsel to discuss the alleged deficiencies in the FAC. (Meyers Decl., ¶ 3, Exh. A.) On June 26, 2026, Plaintiffs' counsel responded with a letter addressing the concerns raised, outlining why they believe the claims in the FAC are sufficient. (Meyers Decl., ¶ 4, Exh. B.) Consequently, the parties reached an impasse, necessitating the filing of a demurrer and a motion to strike in order to resolve their disputes. (Meyers Decl., ¶¶ 5-6.)

Although the parties did not engage in the meet-and-confer process as required, the Court will still consider the merits of the pleadings. An insufficient meet-and-confer process is not a valid reason to overrule or sustain a demurrer or to grant or deny a motion to strike.

PROCEDURAL DEFECT

Plaintiffs request that the Court disregard the demurrer in its entirety, contending that Defendant's demurrer fails to comply with Code of Civil Procedure section 430.60 and California Rules of Court, rule 3.1320(a). (Opp., p. 1:18-25.) The Court DENIES this request.

"A demurrer shall distinctly specify the grounds upon which any of the objections to the complaint,

cross-complaint, or answer are taken. Unless it does so, it may be disregarded.” (Code Civil Proc., § 430.60, emphasis added.) “Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.” (Cal. Rules of Court, 3.1320(a).) However, “[t]he court must, in every stage of an action, disregard any error, improper ruling, instruction, or defect, in the pleadings or proceedings which, in the opinion of said court, does not affect the substantial rights of the parties.” (Code Civil Proc., § 475.)

In the omnibus demurrer and motion to strike, Defendant asserts on the fourth page: “PLEASE TAKE NOTICE that Defendant RUDY TAPIA will and hereby does demur to the First, Fifth, and Sixth Causes of Action of Plaintiffs’ First Amended Complaint pursuant to Code of Civil Procedure § 430.10(e) on the ground that the complaint fails to state facts sufficient to constitute a cause of action.” (Dem., p. 4:2-5.)

Although Plaintiffs correctly assert that Defendant did not comply with California Rules of Court, rule 3.1320(a), the Court does not find that this error has affected Plaintiffs’ substantial rights, as they were able to adequately respond to Defendant’s arguments.

Consequently, the Court will not disregard the demurrer.

DEMURRER

Legal Standard

A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City

Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) A demurrer “does not admit contentions, deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

A pleading is uncertain if it is ambiguous or unintelligible. (Code Civ. Proc., § 430.10, subd. (f).) A demurrer for uncertainty may lie if the failure to label the parties and claims renders the complaint so confusing that the defendant cannot tell what he or she is supposed to respond to. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.) However, “[a] demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures.” (Khoury v. Maly’s of California, Inc. (1993) 14 Cal.App.4th 612, 616.)

Discussion

First Cause of Action – Violations of the California Consumer Legal Remedies Act (Cal. Civ. Code, §§ 1750 et seq.)

Defendant demurs to Plaintiffs’ first cause of action for violations of the California Consumer Legal Remedies Act on the grounds that (1) “[t]he pleaded transaction remains an isolated private resale, not a consumer sales practice governed by” the Consumer Legal Remedies Act; and (2) “[t]he § 1770 subdivisions Plaintiffs invoke do not fit the pleaded facts.” (Dem., pp. 7:8-9, 8:14-15.)

The Consumers Legal Remedies Act (“CLRA”) prohibits “unfair methods of competition and unfair or deceptive acts or practices listed in this subdivision undertaken by any person in a transaction intended to result or that results in the sale or lease of goods or services to any consumer are unlawful.” (Civ. Code, § 1770, subd. (a).)

Under the statute, “goods” are defined as “tangible chattels bought or leased for use primarily for personal, family, or household purposes, including certificates or coupons exchangeable for these goods, and including goods that, at the time of the sale or subsequently, are to be so affixed to real property as to become a part of real property, whether or not they are severable from

the real property.” (Civ. Code, § 1761, subd. (a).) “Person” encompasses “an individual, partnership, corporation, limited liability company, association, or other group, however organized.” (Civ. Code, § 1761, subd. (c).) A “consumer” is defined as “an individual who seeks or acquires, by purchase or lease, any goods or services for personal, family, or household purposes.” (Civ. Code, § 1761, subd. (d).) Lastly, a “transaction” refers to “an agreement between a consumer and another person, whether or not the agreement is a contract enforceable by action, and includes the making of, and the performance pursuant to, that agreement.” (Civ. Code, § 1761, subd. (e).)

Defendant contends that Plaintiffs’ claim is “not governed by the CLRA” due to its classification as “an isolated private resale, not a consumer sales practice[.]” (Dem., p. 7:8-9.) Defendant maintains that Civil Code section “1770 presupposes a seller engaged in commerce with the consuming public.” (Dem., p. 7:2.) They further maintain that sellers are restricted to “a dealer, retailer, merchant, or business enterprise.” (Dem., p. 7:7-8.) This argument lacks a legal basis. The statute clearly states that it applies to transactions between a consumer and any other party, regardless of whether that party is “an individual, partnership, corporation, limited liability company, association, or other group, however organized.” Accordingly, since Plaintiffs are consumers who acquired a tangible item, namely a boat, from Defendant, an individual, for the sum of \$29,000.00, the statute is indeed applicable to the matter at hand. (FAC, ¶¶ 13, 30.)

Moreover, Defendant fails to cite any pertinent case law to substantiate this position. Defendant attempts to rely on *Fairbanks v. Superior Court* (2009) 46 Cal.4th 56 (Fairbanks) as a precedent, yet this case is not relevant to the current situation. Defendant notes that “the Supreme Court held that life insurance fell outside the Act because it qualified as neither ‘goods’ nor ‘services’ under Civil Code § 1761.” (Dem., p. 7:16-18; Fairbanks, *supra*, 46 Cal.4th at pp. 61, 65.) Defendant further claims that “Fairbanks supports the same result here because Plaintiffs invoke buyer-side definitions while the FAC lacks the statutory consumer practice § 1770 requires.” (Dem., p. 7:18-20.) This claim is perplexing to the Court; Fairbanks does not discuss the concept of “buyer-side definitions,” nor does Defendant provide clarity regarding this terminology.

Additionally, Defendant cites *Dagher v. Ford Motor Co.* (2015) 238 Cal.App.4th 905 (*Dagher*); however, this case is similarly irrelevant in this context. (Dem., p. 7:21-28.) *Dagher* involved the Song-Beverly Consumer Warranty Act and not the CLRA.

Furthermore, Defendant asserts that the subdivisions of Civil Code section 1770 referenced by Plaintiffs are not applicable to the factual allegations presented in this case. (Dem., p. 8:14-15.) The Court finds partial merit in this assertion.

Plaintiffs specifically invoke Civil Code section 1770, subdivisions (a)(7), (a)(9), (a)(13), and (a)(16) to substantiate their CLRA cause of action. (FAC, ¶¶ 29-30.) Subdivision (a)(7) addresses the act of “[r]epresenting that goods or services are of a particular standard, quality, or grade, or that goods are of a particular style or model, if they are of another.” (Civ. Code, § 1770, subd. (a)(7).) Subdivision (a)(9) pertains to “[a]dvertising goods or services with intent not to sell them as advertised.” (Civ. Code, § 1770, subd. (a)(9).) Subdivision (a)(13) relates to “[m]aking false or misleading statements of fact concerning reasons for, existence of, or amounts of, price reductions.” (Civ. Code, § 1770, subd. (a)(13).) Finally, subdivision (a)(16) involves “[r]epresenting that the subject of a transaction has been supplied in accordance with a previous representation when it has not.” (Civ. Code, § 1770, subd. (a)(16).)

Plaintiffs allege the following: Plaintiffs discovered Defendant's listing for a 2001 21-foot Shockwave Step Skier boat, which was advertised on various social media platforms. (FAC, ¶ 7.) The advertisement claimed that the “[b]oat runs all weekend up and down the river[.]” (FAC, ¶ 8.) Upon contacting Defendant regarding the boat, Plaintiffs received several assertions about its condition and performance. (FAC, ¶¶ 9-10.) Specifically, Defendant alleged that “the vessel had been ‘serviced regularly’ by Prestige Marine in Lake Havasu City and that it was capable of operating ‘all weekend’ along the Colorado River using its saddle tanks, and that the [b]oat was free of any mechanical defects.” (FAC, ¶¶ 9-10.) Moreover, Defendant claimed that the “[b]oat could ‘do 55 all day.’ ” (FAC, ¶ 11.)

“On June 22, 2025, Plaintiffs and their family inspected the [b]oat in person. Following negotiations, the

parties agreed to a final purchase price of \$29,000. Relying on [Defendant's] representations concerning the nature, value, and condition of the [b]oat, Plaintiffs purchased the [b]oat from [Defendant] at the agreed price of \$29,000.00." (FAC, ¶ 13.) However, "[a]fter approximately thirty (30) minutes of total use, the [b]oat lost power and ceased operating entirely." (FAC, ¶ 15.)

Subsequently, Plaintiffs allege that preliminary troubleshooting revealed that "the [b]oat's engine oil exhibited a milky white coloration, indicative of contamination. The [b]oat was subsequently transported to Prestige Marine, the same mechanic shop that Defendant represented had been performing regular maintenance on the [b]oat for years." (FAC, ¶ 16.) "Diagnostic evaluation conducted by Chris, a technician at Prestige Marine, revealed a blown head gasket between cylinders #3 and #5." (FAC, ¶ 17.) "Plaintiffs' insurer, Progressive, determined that the damage was preexisting and therefore not covered under the policy." (FAC, ¶ 18.)

The Court finds that these allegations are adequate to support claims under Civil Code section 1770, subdivisions (a)(7) and (a)(9). The factual allegations illustrate that Defendant represented the boat as free of mechanical defects, capable of achieving speeds of fifty-five (55) miles per hour, and able to run continuously throughout the weekend on the Colorado River. Given that the boat did not perform as represented and there is evidence of preexisting damage prior to sale, Defendant misrepresented the quality of the boat. Furthermore, the alleged manner in which Defendant advertised the boat suggests an intention not to sell it as described.

The Court concurs that Civil Code section 1770, subdivisions (a)(13) and (a)(16) are not applicable, as Defendant did not allegedly engage in any price reductions or fail to provide the promised boat.

As such, Defendant's demurrer with respect to the first cause of action for violations of the California Consumer Legal Remedies Act is OVERRULED.

Fifth Cause of Action – Conversion

Defendant demurs to Plaintiffs' fifth cause of action for conversion on the grounds that Plaintiffs do not sufficiently allege ownership or the right to possess the sum of \$29,000.00. (Dem., pp. 9:24-11:8.)

“[T]he tort of conversion

is understood more generally as ‘the wrongful exercise of dominion over personal property of another.’

[Citation.]” (Voris v. Lampert

(2019) 7 Cal.5th 1141, 1150, internal citation omitted.) “As it has developed in California, the tort

comprises three elements: (a) plaintiff’s ownership or right to possession of

personal property, (b) defendant’s disposition of property in a manner

inconsistent with plaintiff’s property rights, and (c) resulting damages.’ [Citations.] Notably absent from this formula is any element of wrongful intent or motive; in California, conversion is a ‘strict

liability tort.’ [Citations.]” (Ibid., internal citations and

quotations omitted.)

“A cause of action for

conversion of money can be stated only where a defendant interferes with the

plaintiff’s possessory interest in a specific, identifiable sum[.]” (Kim v. Westmoore Partners, Inc. (2011)

201 Cal.App.4th 267, 284.)

Here, Plaintiffs do not assert

a possessory interest in a specific, identifiable sum. Rather, they allege the following: “Defendant induced Plaintiffs to part with their financial property and monetary assets in exchange for the defective

Boat sold by Defendant.” (FAC, ¶

88.) “Defendant did so by falsely

representing the quality and condition of the Boat offered for sale by

Defendant, as described herein.” (FAC, ¶

89.) “Defendant induced Plaintiffs to

part with their financial property and monetary assets through the false

pretense of advertising, labeling, offering, and selling his Boat with an

intent not to provide Plaintiffs with a boat as represented at the time of sale.” (FAC, ¶ 91.)

“Defendant procured Plaintiffs’ financial property through false

pretenses, theft, and/or conversion.” (FAC,

¶ 92.) “Plaintiffs suffered damages as a

result of Defendant’s conversion and theft by false pretenses, including but

not limited to the purchase price of \$29,000.00—Plaintiffs’ financial property

and monetary assets.” (FAC, ¶ 93.)

These allegations indicate

to the Court that Plaintiffs relinquished their possessory interest in the “financial property.” Plaintiffs were “induced” to

part with the financial property and do not contend that they maintain any

interest in it. Furthermore, the Court notes that Plaintiffs do not provide a specific, identifiable sum. Plaintiffs claim that they “suffered damages as a result of Defendant’s conversion and theft by false pretenses, including but not limited to the purchase price of \$29,000.00—Plaintiffs’ financial property and monetary assets.” (FAC, ¶ 93.) Therefore, the claimed damage is not a specific, identifiable sum.

As such, Defendant’s demurrer with respect to the fifth cause of action for conversion is SUSTAINED.

Sixth Cause of Action – Civil Theft (Cal. Penal Code § 496(c))

Defendant demurs to Plaintiffs’ sixth cause of action for civil theft on the grounds that “the FAC alleges a completed private sale, not civil theft.” (Dem., p. 12:12.)

Under Penal Code section 496, subdivision (a), “[e]very person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained, shall be punished by imprisonment in a county jail for not more than one year, or imprisonment pursuant to subdivision (h) of Section 1170.” Furthermore, “[a]ny person who has been injured by a violation of subdivision (a) or (b) may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney’s fees.” (Pen. Code, § 496, subd. (c).)

It is important to clarify that “not all commercial or consumer disputes alleging that a defendant obtained money or property through fraud, misrepresentation, or breach of a contractual promise will amount to a theft. To prove theft, a plaintiff must establish criminal intent on the part of the defendant beyond ‘mere proof of nonperformance or actual falsity.’ [Citation.]” (Siry Investment, L.P. v. Farkhondehpour (2022) 13 Cal.5th 333, 361-362.) Theft

is defined as: "Every person who shall feloniously steal, take, carry, lead, or drive away the personal property of another, or who shall fraudulently appropriate property which has been entrusted to him or her, or who shall knowingly and designedly, by any false or fraudulent representation or pretense, defraud any other person of money, labor or real or personal property, or who causes or procures others to report falsely of his or her wealth or mercantile character and by thus imposing upon any person, obtains credit and thereby fraudulently gets or obtains possession of money, or property or obtains the labor or service of another, is guilty of theft." (Pen. Code, § 484, subd. (a), emphasis added.)

Defendant specifically

contends that "[t]he FAC identifies no facts that show [Defendant] knew of the blown head gasket before the sale, concealed a specific diagnosis, fabricated service records, staged a theft scheme, diverted property belonging to Plaintiffs, or accepted the purchase price with criminal intent to steal." (Dem., p. 13:11-15.) The Court finds this argument unconvincing.

As previously discussed,

the boat did not perform in accordance with the representations made by Defendant; it allegedly contained mechanical defects at the time of purchase and exhibited evidence of preexisting damage prior to the sale. (FAC, ¶¶ 8-10, 15-18, 95.) These allegations indicate that Defendant misrepresented the boat's quality with the intent to deceive Plaintiffs into making the purchase. The Court finds these allegations sufficient to demonstrate intent to commit theft through fraud.

Defendant further argues

that Plaintiffs have not adequately pleaded theft, as the factual allegations do not indicate that the financial property was stolen, that Defendant was in receipt of stolen property, or that Defendant acted with the intent to acquire money through theft. (Dem., p. 14:8-11.)

However, the Court notes that

there is no requirement within the statute to assert that the property in question is stolen. (Pen. Code, § 496, subd. (a).) Factual allegations indicating that property was obtained in any manner constituting theft are adequate for establishing this claim. Additionally, the Court has already concluded that Plaintiffs have sufficiently demonstrated an intent to obtain the financial property through theft.

As such, Defendant's demurrer with respect to the sixth cause of action for civil theft is OVERRULED.

MOTION TO STRIKE

Legal Standard

Any party, within the time allowed to respond to a pleading, may serve and file a notice of motion to strike the whole or any part thereof. (Code Civ. Proc., § 435, subd. (b)(1).) The court may, upon a motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a); *Stafford v. Shultz* (1954) 42 Cal.2d 767, 782 ["Matter in a pleading which is not essential to the claim is surplusage; probative facts are surplusage and may be stricken out or disregarded"].) The court may also strike all or any part of any pleading not drawn or filed in conformity with California law, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b), emphasis added.) An immaterial or irrelevant allegation is one that is not essential to the statement of a claim or defense; is neither pertinent to nor supported by an otherwise sufficient claim or defense; or is a demand for judgment requesting relief not supported by the allegations of the complaint. (Code Civ. Proc., § 431.10, subd. (b).) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)

Discussion

Defendant seeks to strike the following items from the FAC: (1) references to punitive damages contained in paragraphs 51, 66, 94, and 104, as well as in paragraph 4 of the prayer for relief; (2) claims for treble damages, statutory costs, and attorneys' fees included in paragraphs 3, 4, and 5 of the prayer for relief; and (3) the claim for attorneys' fees under Code of Civil Procedure section 1021.5 in paragraph 5 of the prayer for relief. (MTS, pp. 14:21-16:15.)

The Court notes that Defendant's

request to strike punitive damages mentioned in paragraph 94 is rendered MOOT due to the sustainment of the demurrer pertaining to the fifth cause of action. Nevertheless, since Plaintiffs make additional claims for punitive damages, the Court emphasizes that this will not affect its analysis.

Punitive Damages

Defendant makes two arguments:

(1) Plaintiffs do not present sufficient factual allegations to establish malice, oppression, or fraud, and (2) “[p]unitive damages are not recoverable for breach of contract, and ordinary commercial or sale disputes do not become punitive-damages cases by adding statutory adjectives[.]” as articulated in *Nelson v. Person Ford Co.* (2010) 186 Cal.App.4th 983, 1021. (MTS, pp. 15:1-18.) However, the Court finds both arguments unpersuasive and concludes that the allegations are sufficient to support claims of fraud.

Punitive damages may be imposed where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice. (Civ. Code, § 3294, subd. (a).) A motion to strike punitive damages is properly granted when a plaintiff does not state a prima facie claim for punitive damages. (*Turman v. Turning Point of Cent. California, Inc.* (2010) 191 Cal.App.4th 53, 63.)

“Malice” is conduct intended by the defendant to cause injury to the plaintiff or despicable conduct carried on with a willful and conscious disregard of the rights or safety of others. (Civ. Code, § 3294, subd. (c)(1).) “ ‘Punitive damages are proper only when the tortious conduct rises to levels of extreme indifference to the plaintiff’s rights, a level which decent citizens should not have to tolerate.’ [Citation.]” (*Lackner v. North* (2006) 135 Cal.App.4th 1188, 1210.)

“As amended to include [despicable], the [Civil Code section 3294] plainly indicates that absent an intent to injure the plaintiff, ‘malice’ requires more than a ‘willful and conscious’ disregard of the plaintiffs’ interests. The additional component of ‘despicable conduct’ must be found.” (*College Hospital Inc. v. Superior Court* (1994) 8 Cal.4th 704, 725.) The statute’s reference to despicable conduct represents a “new substantive limitation on punitive damage awards.” (*Ibid.*) Despicable conduct is “conduct which is so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people. Such conduct has been described as ‘having

the character of outrage frequently associated with crime.' " (Tomaselli v. Transamerica Ins. Co. (1994) 25 Cal.App.4th 1269, 1287.) Further, "[t]here must be evidence that defendant acted with knowledge of the probable dangerous consequences to plaintiff's interests and deliberately failed to avoid these consequences." (Flyer's Body Shop Profit Sharing Plan v. Ticor Title Ins. Co. (1986) 185 Cal.App.3d 1149, 1155.)

"Oppression" means "despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights." (Civ. Code, § 3294, subd. (c)(2).)

"Fraud" means "an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury." (Civ. Code, § 3294, subd. (c)(3).)

As previously articulated, the Court has determined that Plaintiffs' allegations indicate that Defendant misrepresented the boat's quality with the intent to deceive Plaintiffs into making the purchase.

Plaintiffs subsequently paid \$29,000.00 to Defendant as a direct consequence of these misrepresentations and later incurred additional repair costs amounting to \$23,652.00. (FAC, ¶¶

13, 19.) The Court finds these allegations sufficient to substantiate a claim of fraud under Civil Code section 3294.

Additionally, with respect to Defendant's second argument, the Court deems it to be without merit, as the Court of Appeal in Nelson v. Person Ford Co. (2010) 186 Cal.App.4th 983, 1021, did not make such claims.

As such, Defendant's request to strike punitive damages from the FAC is DENIED.

Treble Damages, Statutory Costs, and Attorneys' Fees

Defendant requests that the Court strike Plaintiffs' claims for treble damages, statutory costs, and attorneys' fees, as these claims are contingent upon the first and sixth causes of action, which are asserted to be deficient

for the reasons articulated in the demurrer. (MTS, pp. 15:21-16:3.) This request is DENIED. The Court finds that these causes of action are sufficient.

Code
of Civil Procedure Section 1021.5 –Attorneys' Fees

The defendant asserts that the request for private attorney general fees should be struck on the grounds that this case pertains to a private dispute, lacking significant benefits for the general public or a large class of persons. (MTS, p. 16:4-15.)

“Upon motion, a court may award attorneys’ fees to a successful party against one or more opposing parties in any action which has resulted in the enforcement of an important right affecting the public interest if: (a) a significant benefit, whether pecuniary or nonpecuniary, has been conferred on the general public or a large class of persons, (b) the necessity and financial burden of private enforcement, or of enforcement by one public entity against another public entity, are such as to make the award appropriate, and (c) such fees should not in the interest of justice be paid out of the recovery, if any.” (Code Civ. Proc., §§ 1021.5.)

Plaintiffs argue that “[t]he present case, although an individual action, vindicates the social and statutory rights of the general public to hold fraudulent actors in the community marketplace accountable for their wrongdoing and to prevent their future fraudulent sales. Plaintiffs here have established a nonpecuniary benefit for the general public and contribute to the success of public interest litigation. Therefore, an award of attorneys’ fees under § 1021.5 would be warranted to protect the society at large from individual fraudulent actors.” (Opp., p. 12:1-6.) The Court finds this argument unpersuasive.

Plaintiffs’ case appears to benefit them exclusively, as there are no allegations indicating that Defendant has defrauded other members of the public or intends to do so. Consequently, the Court agrees to strike Plaintiffs’ request for attorneys’ fees under Code of Civil Procedure section 1021.5 in paragraph 5 of the prayer for relief.

Accordingly, the Defendant’s motion to strike is GRANTED in part.

ORDERS

1) Defendant

Rudy Tapia's Demurrer to the First Amended Complaint is SUSTAINED with respect to the fifth cause of action and OVERRULED with respect to the first and sixth causes of action.

2) Defendant

Rudy Tapia's Motion to Strike Portions of Complaint is GRANTED IN PART. The Court strikes Plaintiffs' request for attorneys' fees pursuant to Code of Civil Procedure section 1021.5 in prayer for relief paragraph 5.

3) Plaintiffs

Terha Newby and Christopher Newby are GRANTED twenty (20) days Leave to Amend.

4) Defendant

is ordered to provide notice of this Court's ruling.

IT IS SO ORDERED.

DATED: August 12, 2026

Tamara
Hall

Judge
of the Superior Court